

COSTAR GROUP INC CSGP

March 29, 2024 - 4:09pm EST

by

Fat_Tony

2024 2025

Price:	96.60	EPS	2.30	2.65
Shares Out. (in M):	408	P/E	42	36.5
Market Cap (in \$M):	39,452	P/FCF	42	36.5
Net Debt (in \$M):	-4,225	EBIT	1,060	1,220
TEV (in \$M):	35,227	TEV/EBIT	33	29

Description

Summary: the NAR settlement is a potential windfall for CSGP's nascent homes.com business. This is clustered with rapidly growing homes.com traffic, and homes.com monetization progressing faster-than-expected and tracking above their guidance this year. CSGP is trading in-line with historical valuation on just the core business alone, leaving behind a cheap option on the homes.com network.

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Tychus posted on CSGP last July. I would start there, including a healthy back-and-forth in the messages.

There have been material positive developments since that time, for which the stock is flat relative to the mkt.

In rough order of materiality:

1. The NAR Settlement

This is, IMO, a BFD. And the best plausible outcome for CSGP and homes.com. See recent posts/conversations on VIC re: EXPI, Z, COMP, etc. for a fulsome discussion of the potential ramifications.

My own view: unbundling of the buy-side commission, including requiring buyers to contract with buy-side brokers and explicitly lay out buying agent compensation, will lead to clear erosion of the buy-side commission = the death knell for the legacy US portal model of monetizing buyer leads (Zillow).

The 5-6% commission cartel will break. This price was enabled by NAR, through their control of the MLS's, and listing rules therein.

Many buyers may choose not to work with a buying broker, at all, or in a much more limited capacity. That relationship will now be a direct/negotiated/contracted one, funded out of the pocket of the buyer. Many international markets have no buy-side brokers or a diminished one, which is the likely next steady-state in the US.

ZG's model of monetizing the buy-side broker will die. The most direct/physical driver of that = buyers have to sign an economic contract with buy-side brokers. Gone are the days of clicking on a buyers' agent link on a Zillow listing.

ZG will have to pivot to monetizing listings/sell-side. Can they do that quickly, and make it to the other side? History says it is hard to cannibalize oneself.

Homes.com starts with the right model for this world = monetizing sellers/listings.

But why listen to me, when you can hear it directly from the horse's mouth, from someone on the other side of the trade. Here was Zillow co-founder Spencer Rascoff in July 2023 (paraphrasing/quoting a buyside call he held with KBW):

If regulatory/legal unbundling of buy/sell-side agent commissions happens, "everything gets thrown out the window". This would be "a gift from heaven" for Costar. They start with the right model, for that world. While Z would have \$1.5bn in revs at risk in an upside-down model, and would have to reinvent themselves. A ban on commission sharing, were it to happen, would be "seismic".

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A further tail outcome from the NAR settlement, one that's not necessary to the CSGP bull case: this could break the MLS monopoly on listings. The MLS's lose significant utility, here. They are 1) no longer a mechanism for commission-sharing, 2) agents are no longer required to put all their listings on the MLS's. This opens the door to replacing the patchwork network of MLS's, with a private/centralized inventory database (homes.com, Zillow.com, etc.). Which is what we see in UK/Europe/AUS.

Remember, brokers pay \$20-50/mo to access their local MLS, and it costs several hundred \$ to list a property on an MLS. MLS's aren't free.

The holy grail = MLS's die, lose inventory share to private networks, and a monopoly private inventory pool emerges (at homes.com, Zillow, or elsewhere). Given the MLS's start with 100% of the inventory, that will be a hard network to unseat and I take the under. But it is now possible, in a way it wasn't before.

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The bull case, for the status quo, is [things will change slowly and it might not be that bad].

The bull case, for change, is that [the key driver of the US' wonky commission structure is now gone, and the market will converge to structures we see internationally].

I think there is significant asymmetry here. This is anywhere from 'good' to 'spectacular' for CSGP and homes.com.

The NAR settlement may not be the final straw either. The DOJ is heavily involved, with a known open investigation. They may impose additional changes, beyond what the NAR has already agreed to.

2. Homes.com traffic and monetization push

CSGP will invest ~\$1bn (!) this year in homes.com. Up from ~\$500m last year. The early spend was on content. Their neighborhood content is already far superior to Zillow's, IMO. This next leg of spend, is marketing (brand + SEM). Note that they have \$4+bn of net cash on the BS, and significantly + FCF even after the homes.com spend.

Yes, CSGP is buying homes.com traffic. It is paid, and not organic. That makes the spike in traffic since they bought the asset, and subsequent to the 2024 super-bowl marketing push, potentially ephemeral. In ~1yr, CSGP took homes.com from ~0, to the #2 visited home portal behind Zillow. And they bought it.

But this isn't CSGP's first rodeo. They did the same with apartments.com, built a brand, and sustained the traffic, which over time became organic. Today, 85% of apartments.com traffic is organic.

Monetization of that traffic is just beginning. Remember, CSGP is monetizing listing brokers, not the buy-side.

RBC is providing real-time weekly paying agent count from their web scrape of homes.com. Paid agents increased from 0 at the end of Jan2024, to 800 as of 2/20 shortly following the SB ad blitz, to 5.7k on 3/25. Implies ARR up to \$35-40m of ARR vs guidance of [\$100m] by YE 2024. Also implies that bookings are accelerating, 1.5mo removed from the SB ad blitz.

With the caveat that this is a web scrape, and not source-of-truth, the implication is that homes.com guide for [\$100m] YE ARR is looking conservative with CSGP currently booking \$5+m in net new ARR/week.

This is clustered with the NAR settlement above, and there's a good chance we see the market conflate the two. Notwithstanding the fact that the NAR changes don't go into effect until July 2024.

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We could also see CSGP take another swing at acquiring realtor.com. They walked away from the deal last year on price. Realtor.com is in trouble, with the NAR settlement, and CSGP's marketing bonanza. It would not be a surprise to see CSGP get the asset, at a discount.

IMO, realtor.com would be a homerun for their homes.com buildout, adding ~60m eyeballs to the network.

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Z and realtor.com make ~\$7/MAU in revs. The international peers, with monopolies + better biz models make \$20-30+/MAU.

If we let our imagination wander, which is what the market oft does if things 'start going right', one can imagine a world in which homes.com is as big as the rest of the legacy CSGP biz = 100m+ MAUs, monetization closer to int'l peers.

3. International push

CSGP acquired OnTheMarket (OTMP LN) in late 2023 for GBP100m. OTMP is the #3 listings site in the UK, behind RMV/L and Zoopla (owned by PE). At acquisition, they had ~70% of RMV/L listings and 29% of the traffic. They have no shot to compete, on their own. Their revenue is 'the good kind' = agent subscriptions, in which they pay-to-list/premiumize listings.

In Andy's words: "ONTMP charges 1/10 what Rightmove does. And that's before Rightmove's plans to raise pricing 7%/yr over the next 5 years while maintaining at least a 70% profit margin. You simply cannot make this stuff up, but you have to love it."

Note, GBP100m = 0.4% of CSGP's EV, and they have \$5.2bn in cash. The size of the deal itself is a rounding error. The question is, what are they going to do with it?

Andy has told us. Europe is their next frontier, which CSGP will tackle with their historical playbook: buying tier2 listings assets, and 1) invest in content/website performance, 2) throw ad dollars at traffic.

That playbook was wildly successful with apartments.com, in part because there was no clear #1, the market was fragmented, and they had by far the deepest pockets. International will be harder. There are clear #1's, with deeper pockets.

A possible next target is Germany, where KKR owns the #2 asset behind Scout24. One has to imagine that asset is for sale, and CSGP would want.

I am less optimistic re: their International listings push, than I am with homes.com in the US. Europe/UK is owned by dominant established players, with reasonably deep pockets.

But I also think: 1) CSGP doesn't need International resi to be successful, 2) there's + asymmetry if it is.

4. We're another 8 months through the CRE cycle, and now almost 2yrs removed from the top

As noted in Heffer's well-timed late-2020 short pitch, the core suite business is exposed to the CRE cycle. Although this exposure is lower than in history, with just ~1/3 of this biz selling to brokers, down from 90+% at the time of CSGP IPO. Also note, that over half of those brokers' activity comes from leasing as opposed to sales.

Suite organic growth has slowed from mid-teens at the peak of CPI-linked price increases, to [+7-8] in 2024E. Andy argues 2024 will be the bottom for the CRE cycle. Maybe. But, we are now closer to that bottom than we once were. CRE transactions were -50% in 2023, and at the lowest level since 2013. This will be an eventual tailwind, to CSGP's core suite business.

The Business

I'm not going to rehash the whole biz here. Plenty of good data/summaries in prior VIC posts and the 10-K.

How we think about it: 40% core suite + adjacencies, 60% online property marketplaces.

The former is 'the Bloomberg of CRE'. Others have tried to emulate and failed. This is a monopoly, and CSGP protects it with fervor (see their forcing Xceligent into BK). The moat is a combination of software engrained in customer workflows + proprietary data/history that nobody can replicate.

The latter is mostly apartments.com today (#1 apartment portal), with commercial (Loopnet, Tenx) still in its relative infancy. And homes.com the big wildcard, where we see significant prospective upside, as detailed above.

Valuation

This is Quality Secular Growth, and it trades as such. If you are inimical to paying 40+ PE for an asset—as CSGP and other 'quality growth' winners have traded for a decade+—this isn't for you. That's a foundational debate, for another forum.

With that said, headline valuation, is the wrong metric. I think the right valuation framing, is 'what are you paying for the core ex-homes.com?' And then, separately, what is homes.com worth?

On my math and numbers, CSGP trades 42x this year's core earnings, excluding the losses from homes.com. The core business has an EBITDA margin in excess of 40+%, is growing +LDD organically, with margin expansion. I think value creation (earnings growth) will be 15+% for years to come. Everyone has their own method of dealing with the growth vs valuation debate. One such way, is to answer, [what is the PE in 5yrs?]. I think I'm buying CSGP below 20x their year 5 earnings. And in 5 years, I think CSGP will have as-good-or-stronger of a core business, as they have today.

Empirically, 42x is: 1) towards the LE of CSGP's historical absolute multiple, and 2) towards the LE of their historical relative premium vs SPX.

That's all before assigning any value to homes.com.

What is homes.com worth? The TAM is at least as big as the core commercial one. Zillow has a flawed model relative to int'l peers. CSGP has a shot at creating a better one. Maybe it works.

They will have spent ~\$1.5bn on homes.com, by the end of this year. The 42x above assumes that's ultimately worth 0. Andy is among the best capital allocators we've seen. He's not going to throw good \$ after bad, perpetually, if homes.com is a bust.

We've seen this video tape many times with Costar. They took apartments.com from 0 to \$1bn in revs in 10yrs. Every time they leaned into investing in apartments, the market hated it, for a short period of time. Looking back, with the benefit of hindsight, those investments were homeruns.

In short, I think you get to own the core business here, cheapish to history (but certainly not outright 'cheap'...if that's your thing). And you aren't paying much/anything for homes.com.

Other considerations

Andy is an all-star. Probably the all-time great among proptech CEOs. That's despite having never owned much stock. We've spent a lot of time with him...he is simply wired to aggressively compete and win. I encourage anyone looking at CSGP to meet with Andy, and also speak with his competitors/peers about him.

The balance sheet is perfect, with more than \$4bn in net cash. Inclusive of a lengthy track record of accretive M&A without taking on debt.

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Catalyst

1. NAR settlement implemented starting July 2024 drives the home portal market towards homes.com's model and away from incumbents.
2. Homes.com monetization surpasses initial guidance for 2024...bookings appear to be tracking well ahead through March.

Messages

Subject Funding, Cap allocation, Incentives & Opportunity
Entry 04/02/2024 01:51 PM
Member coyote

Thank you Fat_Tony for the thoughtful write-up. No doubt CoStar has been super successful, yet I would like to understand more about the past and ask some questions on the opportunity.

Funding

Why has CoStar issued such a massive number of shares since its foundation when it has been a net-cash highly cash generative business? It does not make much sense to me. If anything the business would have done way better financially if run conservatively, say with one turn of net debt EBITDA. Moreover, EPS growth would have been spectacular if bought back shares with that cash on the balance sheet...

Acquisitions

- Where do you think they did not get correctly when acquired HomeSnap for \$250m and months later acquired Homes.com for around \$150m and the lower priced is the prevailing brand?

- Andy cites the success of Aparments.com to evoke in our minds the success of CoStar push into residential. I guess Homes.com and OntheMarket are different animals as most of the supply side comes from brokers while on Apartments.com are brokers, property owners and property managers. Also the demand side comprises mostly renters while Homes.com comprises buyers and renters. How do you think of these differences?

- Also I am from Spain and in Spain multifamily is de minimis. Any reason why in the US Homes.com and Apartments.com cannot be under the same umbrella (read here web)?

Apartments opportunity

The large opportunity ahead (\$7B) is on the small and mid-properties (below 99 units per property). CoStar just has 1% penetration in the sub-50-unit space for 40%+ for 100+ unit spaces. Reason why these properties are not already listed in Apartmets.com? Strategy and cost in the go to market for these smaller properties?

Homes.com

- It seems like clear that buyer-agent fees will be under huge pressure after NAR settlement. Sorry for my ignorance of the US market but in Spain we do not have buyer agents. One question however is how many seller agents also act as buyer agents (overlap)? If overlap is huge Brokers might be reluctant to participate on new platform where they might lose a lot of their revenue...

- What do you think it takes for Homes.com to convert that massive paid traffic to unpaid traffic as it happened in Apartments.com? What is the inflection point?

- MLSs change now to the lister. How can Homes.com convince now seller agents to pay to list on Homes.com when they are already paying for MLS and from there their supply gets listed in all marketplaces for free as the current model is to monetize the buyer agent and not the seller agent?

Thanks and All the best.

Subject Re: Funding, Cap allocation, Incentives & Opportunity
Entry 04/02/2024 05:40 PM
Member Fat_Tony

Hi coyote, thank you for the pertinent questions.

Funding

CSGP, and their mgmt (read: Andy) have always been allergic to debt. IMO, this is a feature, not a bug. We prefer companies who run with net cash positions.

CSGP has, to the deal, raised equity to fund M&A. Those raises have been opportunistic, i.e. broadly at local relative highs for the stock. And at very attractive valuations relative to the eventual earnings that they are acquiring (i.e. significantly accretive to EPS).

EPS has grown at 20+%/yr for the last decade (looking through current homes.com losses), inclusive of the equity raises. Those raises enabled them to move quickly, on subsequent deals. E.g., had they used debt to fund the first major acquisition (Loopnet in 2011), they would not have been in a position to acquire apartments.com in 2014.

The \$5+bn cash balance today similarly enables them to move quickly on new opportunities (see the write-up re: realtor.com, push into Europe).

Acquisitions

Homesnap and homes.com were two very different assets. Homesnap's core business was broker workflow tools/software. This gave them a foot in the door with brokers. Yes, there was a smaller consumer facing asset in houses.com...more on that below.

Homes.com brought them: 1) another 5m MAUs (vs houses.com's 4m), 2) a better brand/URL, 3) more MLS coverage, bringing them to ~100%.

Homes.com is a way better brand, than houses.com. And has nice symmetry, with apartments.com. After acquiring homes.com, they funneled all of the houses.com traffic to homes.com. This was their playbook, in building apartments.com (including subsequent purchases like forrent.com etc).

Note: they spent \$400m on those two acquisitions. But the real cost is what they are doing organically, having subsequently spent ~\$1.5bn on content/traffic/brand marketing for the homes.com network through F24E.

Re: apartments vs homes. Historically, this has been a fairly well-segmented consumer search. Zillow and some international peers have tried to combine both, but my sense is that there isn't much cross-pollination of traffic. IMO, consumers broadly come into their search knowing if they want to buy or rent. If there are big synergies to having buying/renting portals under one roof, I think that's likely to accrue to CSGP as opposed to being a risk.

Apartments opportunity

Smaller properties/landlords have a much less developed/sophisticated go-to-market strategy vs their larger peers. The ROI to listing on apartments.com is clearly there. CSGP is still figuring out *their* go-to-market to convert smaller landlords. But the economic pitch is sound (as proven by their larger landlord customers), and I suspect they will succeed.

Homes.com

Most agents act as both buyer and seller agents (although not on the same property). I don't, have exact #s, but that is the norm. However, I disagree with the framing of the question. Listing their sales-agent properties on homes.com does not mean an agent forgoes their buying agent business. They are two entirely separate channels. E.g. an agent could list their sales on homes.com, while still participating in Zillow's Premier Agent product. The reality is, a very small % of brokers get their buy-side business from a portal like Zillow. The reality, which it sounds like you agree with: the buy-side agent commission pool will be shrinking in response to the NAR settlement + any carryover action by the DOJ. That's bad for portals who have monetized those pools (Zillow, realtor.com, etc.), and relatively good for homes.com, who aims to monetize the sell-side commission pool.

For homes.com to successfully transition towards organic traffic, they need to build brand awareness + SEO. They successfully did this with apartments.com, in part driven by their Jeff Goldblum campaign. That is the *raison d'être* of the big ad push this year, which started at the Super Bowl. And also the reason behind the big content push (which drives SEO).

On day 1, listers won't be required to pay to get a property on homes.com. That would kill homes.com inventory, and the whole network. Payment will be for: 1) premiumization (i.e. listing will show more prominently), and 2) for seller leads (i.e. directing home sellers to listing agents). The 'death of the MLS', is a day 2 or 3 thing, and may never happen given the MLS' inventory lead. I don't think you need the 'death of the MLS', for homes.com to be a winning/profitable/substantial portal.

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As an aside, it sounds like you are from/in Spain. Out of curiosity...we are familiar with Fotocasa owned by Adevinata. But in terms of traffic, we see a pretty scrappy market with a lot of different portals. Looks like Fotocasa doesn't enjoy the dominance we see in other European markets (Rightmove in UK, Scout24 in Germany, Hemnet in Sweden, etc.). Curious of your view from the ground in Spain?

Subject Entry Member	Re: Re: Funding, Cap allocation, Incentives & Opportunity 04/03/2024 05:34 AM coyote
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Thank you Fat_Tony for your responses.

Spain

Fotocasa is not the leader, Idealista is the leader by a mile, more dominant actually than Rightmove in the UK. Below I post the main European RE classifieds players and their respective dominance and type of ownership.

Country	Type	Part of regional group?	Type of market leader	Main brands	Owner
UK					
Rightmove	Vertical	No	Strong #1	Rightmove	Publicly listed
Houseful	Vertical	No		Zoopla, Prime Location	PE-backed
OnTheMarket	Vertical	Yes		OnTheMarket	CoStar
Germany					
Scout24	Vertical	No	Solid #1	ImmoScout24	Publicly listed
AVIV Group	Vertical	Yes		Immowelt	Axel Springer / PE-backed
Kleinanzeigen	Horizontal	Yes		Kleinanzeigen	Adevinta / PE-backed
France					
Leboncoin	Horizontal	Yes	Weak #1	Leboncoin, AVAL	Adevinta / PE-backed
AVIV Group	Vertical	Yes		SeLoger, Logio-immo	Axel Springer / PE-backed
Bien'ici	Vertical	No		Bien'ici	Agent-owned
Italy					
Real Web	Vertical	Yes	Weak #1	Immobiliare, TrovaCasa	Privately owned
Idealista	Vertical	Yes		Idealista	PE-backed
Subito	Horizontal	Yes		Subito	Adevinta / PE-backed
Norway					
Schibsted	Horizontal	Yes	Strong #1	Finn	Publicly listed
Sweden					
Hemnet	Vertical	No	Strong #1	Hemnet	Publicly listed
Spain					
Idealista	Vertical	Yes	Strong #1	Idealista	PE-backed
Adevinta Spain	Mix	Yes		Fotocasa, Habitacalia, Milan	Adevinta / PE-backed

Source: Jefferies

Homes.com

My point is not that Zillow and Homes.com are not different channels. They are. Agree on that. On Zillow they get leads as buyer agents and on Homes.com they will get leads as listing agents. And an agent can participate on both and make money on both. My only point is that if I were an agent I might be reluctant to participate with my seller listings on a website that will kill Zillow.com as it generates also part of my business as an agent. You say it is a small % of the leads a buyer agent is typically getting. Do you know what is the typical % and what are the other (main) channels where buyer agents get leads?

Why would I accelerate or participate in the disintermediation of a web property that brings part of my foot to the table. What are my incentives to do that? As seller agents are also buyer agents depending on the transaction would not I have an incentive to keep the status quo?

On Homes.com monetization model, on (2) how does it work? If a seller does not have a seller agent, is it that Homes.com changes prospective seller agents in a bid contest for those home sellers?

All the best

Subject	Re: Re: Re: Funding, Cap allocation, Incentives & Opportunity
Entry	04/03/2024 06:57 PM
Member	Fat_Tony

Coyote, thanks for the Spain color. Very Helpful.

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re: agents declining to list on homes.com because it would harm their buyer-agent business via Zillow and elsewhere...I think I see the crux of the debate.

My take: I think the buy-side commission pool will shrink post-NAR, perhaps by a lot. That forecast is independent from what CSGP is trying to achieve with homes.com. I think a smaller buy-side commission pool is a fixed eventuality, that puts Zillow et al.'s model in a tough spot, regardless of the existence/ambitions of homes.com. Zillow will have to pivot, and my baserate for these things = that's rarely a pretty process.

The NAR settlement is a tailwind for CSGP/homes.com in that it will enable them to compete for **consumer** eyeballs while their legacy competitors are under financial pressure. Note: this isn't about sell-side agents choosing to list on X **or** Y. All of the inventory on homes.com, Zillow, etc. comes from the MLS's today, anyway.

I don't buy the argument that a broker would choose not to pay homes.com to premiumize their listing *because* they think that will hurt Zillow:

1. That's some deep thinking, from a group not known for their deep thinking. Anecdotal...agents hate the Zillow model. They hate that another broker shows up on their listings. Homes.com's mantra is "your listing, your lead". The genesis of homes.com, was to fix the things agents hated about Zillow. And then NAR happened, which is the gravy on top.

2. Zillow buy-side leads are not material to the average broker. A very small % of buy-side leads come from portals. From Zillow's own data, I estimate that their buy-side market share is less than 5%. Meaning ~95% of buy-side leads come from elsewhere. Think referrals, word-of-mouth, print ads, online broker directories, and even good ole bus stop benches. Further, it's not that all brokers get 5% of their buy-side leads from Zillow; rather, only ~5% of brokers use Zillow buy-side leads at all (per the last time they released those #s).

Subject	Re: Re: Re: Re: Funding, Cap allocation, Incentives & Opportunity
Entry	04/04/2024 08:27 AM
Member	coyote

Good points Fat_Tony.

On Zillow capacity to pivot

Do you you think Zillow has any chance of cannibalizing itself? for example, at the risk of losing a lot of revenue (or most of it), raising now capital at \$11B valuation, and connecting directly their sites with the listing agent and forgetting the buyer's agent. I guest "request a tour" now also connects with the buyer agent I presume. So as Zillow has most of the eyeballs even if it is not in the right monetization model the market still thinks it can turn the ship, otherwise it would not be worth \$11B now. How unlikely do you think that Zillow pivots? Pro and against arguments?

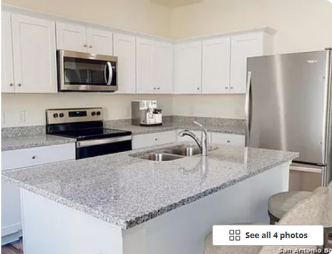
Thanks!

Back to search

Zillow

SaveShareHideMore

New construction



See all 4 photos

\$243,990

931 Goodhart, San Antonio, TX 78221

Est. \$1,684/moGet pre-qualified

3 beds

2 baths

1,401 sqft

Request a tour

as early as today at 11:00 am

Contact agent

Single Family Residence

Built in 2024

5,227 sqft lot

Subject

Entry

Member

Re: Re: Re: Re: Re: Funding, Cap allocation, Incentives & Opportunity
04/08/2024 09:05 AM
Fat_Tony

Zillow has \$1bn of net cash, and the eyeballs. Success of homes.com doesn't require Zillow to be a \$0, and I don't think it will be.

To the degree the buy-side commission pool is significantly impaired by NAR and any follow-on DOJ actions, Zillow will pivot towards monetizing listings (e.g. the touring module you highlight above; but more significantly: pay to premiumize listings). But, I think that pivot will be challenging, certainly from a public-market perspective for the stock. *Concurrently*, they will be required to defend that eyeball lead from the most aggressive competitor they have faced, at least since they acquired Trulia. In short, I think Zillow will be on their back foot, while CSGP spends a multiple of their ad budget on consumer marketing.

The NAR settlement, and a market evolution towards sell-side monetization, very well may be *good* in the long run for the total profit pool available to US homes portals. And I think it is certainly good for CSGP/homes.com's share of that profit pool.

Subject

Entry

Member

Re: Re: Re: Re: Re: Re: Funding, Cap allocation, Incentives & Opportunity
04/08/2024 09:42 AM
jso1123

Fat_Tony - if ZG pivots to try and replicate the sell-side focused model of Homes.com/CSGP (which looks more like the successful model of Rightmove in the UK), isn't the issue that they have no proprietary listing data? Listings are syndicated from the MLSs to all the portals and when I look at Homes.com vs. Zillow.com for a certain region, I see the identical data with CSGP/Homes having dramatically improved their UI. So even if ZG pivots, how do they ever really monetize if they don't have anything proprietary? Traffic can be bought, and CSGP has enormous resources (and equity market support) to go after it.

Thanks

Subject

Re: Re: Re: Re: Re: Re: Re: Funding, Cap allocation, Incentives & Opportunity

Entry
Member

04/08/2024 12:58 PM
Fat_Tony

Jso, we're on the same page here.

The syndicated MLS listings model is what makes Zillow vulnerable in the first place. There is no network effect of listings --> eyeballs --> listings --> eyeballs etc. That network effect is what makes sustainably dominant portals in international markets, and is absent in the US. This applies to homes.com, too.

Instead, what will be monetized is premiumization. I.e. my listing showing up first, or with more content (pictures, videos, etc.) than what comes from the MLS.

This will be a dogfight for eyeballs. And IMO, Zillow will be waging that fight with an arm behind its back as they navigate pivoting their biz model.

Subject Devil's advocate - Model and Traffic
Entry 04/10/2024 02:10 PM
Member coyote

Since the Super Bowl's campaign I see not insane increase in traffic, actually a decrease, and Zillow's share stands. This is web traffic (desktop and mobile).

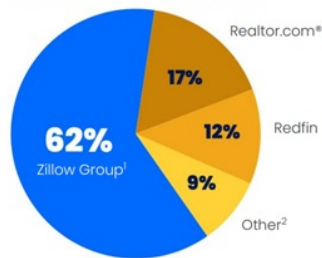
	sep-23	oct-23	nov-23	dic-23	ene-24	feb-24	mar-24
Zillow	307	307	262	277	315	301	332
Trulia	42	39	39	39	46	46	52
Streeteasy	7	7	6	8	9	7	8
Zillow properties	356	353	307	324	371	355	392
Realtor.com	127	126	108	109	124	124	137
Redfin.com	100	98	84	86	100	98	107
Homes.com	68	42	40	43	40	51	50
Total	651	618	539	562	635	627	687
Zillow share of total %	55%	57%	57%	58%	58%	57%	57%

App traffic actually strengthens this finding. From the 9% of "other" just 0.7% belongs to Homes.com and 1.6% to Apartments.com

Daily Active App Users Among Real Estate Marketplaces



Average Daily Active App Users



- Why do you think Homes.com is not really getting traction? Do you have evidence pointing in the opposite direction?

- Also, we agree that Zillow's current monetization model is rotten and has to pivot. And we agree on the pressure on buyer agent fees. But what is the end game here in terms of monetization for listing agent based model? Certainly in Europe the model works, but I think it is probably not because the inventory is exclusive. Because in Sweden we saw that even the smaller competitors have as many listing as Hemnet, but way less traffic (fewer eyeballs). So what matters is not that an MLS exists or not or not in the end as I do not think in Europe there is exclusive inventory either and most brokers list on 1 or 2 platforms, but the demand side (i.e. Hemnet has 19x the no.2 player traffic). Given this, would not be Zillow in a better spot if he decides to fully pivot suddenly under its innovators dilemma?

All the best

Subject
Entry
Member

Re: Devil's advocate - Model and Traffic
04/11/2024 10:09 AM
Fat_Tony

Hi coyote, not sure where your data is from, but we've seen similar things from different providers (see similarweb, for example).

I think you are showing total visits. The gap to Zillow narrows considerably when looking at MAUs (i.e. uniques). And puts homes.com on par with realtor.com and redfin. That is, IMO, a better proxy for buy-side eyeballs. E.g. my wife checks our zestimate every day, but to my knowledge isn't in the market for a house :)

Further, I doubt CS GP is done with M&A in the space. Redfin is distressed, with their debt at 50c and the MTM EV at \$1bn. And realtor.com likely remains in play.

Re: the history, your table shows traffic trends since the September 2023 SEM peak. Going back further, homes.com visits are up ~10x from when they bought it.

I'm not that preoccupied with visits in a given month or quarter. In part because I think CS GP can hit whatever traffic # they want through SEM. The superbowl push was brand marketing. Brand marketing is a much less direct driver of traffic than say SEM. Also note, all the work CS GP has been doing on content (read SEO) has high latency to visits. We've seen SEO efforts take 4-6mo to be manifested in GOOGL search results.

What matters to me, is *organic* traffic 1-2yrs from now. and the other side of the network = monetized brokers. those are obviously correlated.

I disagree re: the importance of the MLS. In European markets, even if the #1 has 10% more listings than the #2, that's a BFD. Yes, most sellers may list on multiple sites...but if *any* inventory is missing from the #2, that will prevent them from ever scaling eyeballs. That issue obviously doesn't apply to the US given the MLS structure.

I think the likely monetization end-game (in order of size/importance) = 1) pay to premiumize, 2) sell-side broker directory, 3) buy-side broker directory. Unlike Europe, where listings are proprietary, we have the MLS. That likely precludes a pay-to-list model. Although, as noted in the write-up, there is an outside chance that the MLS structure breaks.

In a spreadsheet...Zillow is in the best spot to monetize a post-NAR world. They have the eyeballs/brand. Agents hate them, but the eyeballs (read: economics) probably dominate that equation. However, the real world is messier than a spreadsheet. Can Zillow pull off that pivot, as a public company with an existing biz model based on a soon-to-shrink buy-side commission pool? I dunno. I think the door is open for homes.com.

Subject Why is Homes.com going to win traffic from Zillow?
Entry 04/11/2024 10:37 AM
Member finn520

Taking a step back, why is Homes.com going to knock off Zillow? I use Zillow to look at properties in my town, I have the app on my phone and frequently look at it. I'm not going to buy a home but it's fun to look at. All the properties for sale and recently sold are listed there. My dad uses it, my friends use it, everyone I know uses it. It doesn't cost anything. Zillow dominates consumer mindshare. Why are people like me going to switch to looking at properties on Homes.com?

You say in the writeup that Homes.com neighborhood content is far superior to Zillow's. What exactly are you referring to?

Thanks.

Subject Re: Re: Devil's advocate - Model and Traffic
Entry 04/11/2024 10:52 AM
Member coyote

I disagree re: the importance of the MLS. In European markets, even if the #1 has 10% more listings than the #2, that's a BFD. Yes, most sellers may list on multiple sites...but if *any* inventory is missing from the #2, that will prevent them from ever scaling eyeballs. That issue obviously doesn't apply to the US given the MLS structure. Again, apparently number 2 competitor vs. Hemnet in Sweden, has more listings than Hemnet. That would contradict your theory on prop content. This is fact based and would decrease the importance of a centralized inventory data. I do not think it really makes a difference if you have virtually the same properties listed anywhere. It happens in Europe as people upload them, it happens in the US via MLS?

That is one thing. The other thing, if MLS is that relevant and the difference in inventory is that relevant, you **need** MLS to dissappear for either Homes.com and/or Zillow pivoting to listing-based model to be good businesses... if supply is the secret...

Subject Re: Re: Re: Devil's advocate - Model and Traffic
Entry 04/11/2024 11:27 AM
Member coyote

To your benefit Fat_tony, it is true that Booli, the number 2 RE portal in Sweden, provides free listing, so yes, you have a point, if they charged, probably people would not list in Booli.

Current Data Booli 42.7K properties listed, Hemnet 41.3K and Boneo (number 3) 25K. Of course Hemnet conversion is 19x Booli's. Of course Booli does not charge and Boneo 25k and listing costs money, so it supports somehow your argument finally Fat_Tony, yes... sorry for the confusion.

Subject Re: Why is Homes.com going to win traffic from Zillow?
Entry 04/11/2024 01:36 PM
Member Fat_Tony

Hi Finn.

To levelset: Zillow doesn't need to be a 0 for CSGP to work. And homes.com doesn't need to be homerun for CSGP to be a fine stock. Rather, this is about optionality and asymmetry.

*

With that said...starting with your last comment on content. I pulled a random listing from both sites (picked Lansing MI out of a hat and clicked a random home):

https://www.zillow.com/homes/6508-Brook-Trail-Unit-3_rb/346404315_zpid/

<https://www.homes.com/property/6508-brook-trail-lansing-mi-unit-3/8h7wkl9jnw479/>

on the homes.com listing, scroll down to 'about Lansing Township'. watch the video (CSGP spent the last 2yrs making literally hundreds of thousands of these with commercial drones). look at the school info. click on a school or two (which, importantly, stays on homes.com site/content).

contrast that to the Zillow section titled 'Neighborhood: 48917'.

homes.com clearly has richer neighborhood content, which they've spent a lot on. is that going to make or break the fight for eyeballs? probably not. although it might matter a lot, for SEO. CSGP thinks it will, and they are pretty darn good at SEO.

*

also note in that listing example...homes.com directs you directly to the listing agent. zillow does not. Particularly in a post-NAR world, buyers will increasingly want to go direct to the listing agent.

*

in the short term, it would be silly to argue that visits will be driven by anything other than the below:

homes in phoenix

All Images Maps News Shopping : More Tools

For rent Under \$50000 For sale Zillow New construction Single family homes Under \$200 000 Cheap >

About 96,300,000 results (0.45 seconds)

Sponsored

Homes.com
https://www.homes.com/houses_for_sale/phoenix_az

Search Phoenix Houses - See Houses For Sale In Phoenix

View recent **home** listings by neighborhood or nearby schools. Co-shop and share with ease.
 Know before you buy with neighborhood **home** trends, safety, transit, and more.

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horizonhomesrealestate.com
<https://www.horizonhomesrealestate.com>

Phoenix Homes For Sale | Fast & Free Real Estate Search

Live MLS® feed updated every 5 minutes with automatic new listing notifications. 100...

Zillow
<https://www.zillow.com/.../Maricopa-County>

Phoenix AZ Real Estate & Homes For Sale

Zillow has 3479 **homes** for sale in **Phoenix** AZ. View listing photos, review sales history, and use our detailed **real estate** filters to find the perfect place.

[Houses for Sale in Phoenix](#) · [Houses for rent](#) · [Phoenix Home Values](#) · [3226 Rentals](#)

homes.com will spend \$1+bn this yr, much of that going to SEM. that's multiples of what Zillow will spend. the whole question = can they eventually convert that traffic to organic, and make homes.com a brand?

other than [spending more than Zillow on SEM while Zillow's core rev stream is in jeopardy]--which to be fair could work!--the other route to unseating Zillow is to have better/richer content. the neighborhood stuff is a start. but it really comes down to property-level content. that could come from realtors (although I think anything they create for homes.com, they would just duplicate on Zillow), but more likely from CSGP's direct research force. e.g. Andy has talked about generating proprietary drone footage of every home-for-sale in the US, that would be found only on homes.com.

Subject Matterport deal
Entry 04/22/2024 11:31 AM
Member Fat_Tony

If you haven't seen Matterport content, you should take a look. Here's a sample apts.com listing with a Virtual Tour from Matterport. Click Virtual Tour. Check out each of floorplan, dollhouse, and explore mode:

<https://www.apartments.com/952-5th-ave-new-york-ny-unit-fl3-id822/5lcsnnn/>

MTTR has both a self-serve and a full service model. Through the full service model, they have thousands of employed and contracted capture service technicians.

Data matters. They have 38bn sq ft of mapped 3D space in their data library.

Zillow would have wanted this asset too, but they can't afford.

*

Note, the above Virtual Tour is available both on apts.com and streeteasy (owned by Zillow).

I expect CSGP to try to make that data proprietary to their listings platforms, either explicitly by fiat or with incentives.

As discussed in comment 14 below, the holy grail for homes.com is to have proprietary content. The existence of the MLS's makes that difficult.

CSGP has started with neighborhood info. They are miles ahead of Zillow there.

But what will really matter, is proprietary home-specific content. Andy has talked about building drone footage of every home in the US.

I think this is really what the MTTR deal is about: adding a rich source of content to homes.com listings, and making that content proprietary to homes.com.

Subject Re: Matterport deal
Entry 04/23/2024 04:50 AM
Member coyote

Hi Fat_Tony, thank you for the color. How do you think of the price? 10x run-rate sales seems to be expensive, especially given some of Matterport's customers will likely cease to be so for the reason you point - customers are Homes.com's competitors and CoStar will likely prioritize proprietary content.

Sure, Costar can leverage matterport 3D tech amongst many properties, so probably a sales multiple is not the right way to look at this as it seems to be super strategic. But still I wonder wil Costar paid 3x the closing share price of Friday... was such a premium the only way to convince insiders and other stakeholders to sell?

Finally, can you elaborate on competing technologies/3D databases to Matterport?

All the best

Subject Re: Re: Matterport deal
Entry 04/23/2024 08:09 AM
Member Fat_Tony

Not a cheap deal. Although a counterpoint: with CSGP at 10.5x sales, and half the deal in stock, this isn't dilutive to CSGP EV/S. Also note: they'll still have \$3.4bn net cash after the deal.

I think the px was a combination of a closely held stock (insiders/sponsors owned 15%), and a competitive deal (I suspect ADSK would have wanted, Zillow may have been in the mix).

But I think that whole convo misses the forest for the trees. If MTTR helps them succeed with homes.com, it's worth precisely "a lot" to CSGP.

Re: competition, MTTR is dominant in full 3D renderings. There are 5-10 smaller players (including Zillow's in-house product), but those guys mostly do just 2D video tours (2D video, mapped to a 360* view). And as AI becomes a bigger part of the 3D render stack, MTTR's spatial data on 38bn sq ft will be a big moat.

Subject 1q print
Entry 04/26/2024 06:43 PM
Member Fat_Tony

The central update = homes.com bookings beat and raise. Booked \$40m of ARR in 2mo, raised FY ARR guide from [\$100m] to [\$130-140m]. And that looks conservative vs run-rate bookings trends. With N = 1 quarter, those RBC checks look directionally accurate.

The call is worth a read vis a vis CSGP's vision for MTTR. IMO, sign me up.

The int'l resi update...OTMP visits +100% yoy and listings +40%. They have now surpassed Zoopla.

*

Elsewhere, apartments.com remains strong at +21 and tracking ahead of guide. Although apartment vacancies at cyclical highs, and this will eventually be a tough comp.

Core suite is soft, and they trimmed FY guide there. Blame the fact that salesforce is focused on homes.com.

Subject Metrics
Entry 05/14/2024 03:27 AM
Member coyote

We are tracking metrics and Homes.com does not seem to be gaining traction. Of course management is a bit promotional on it. Super bowl commercials attracted lots of eyeballs, of course, but I think one needs to have a really superior product (a WOW! one) before spending a lot on marketing. This is especially true when a cognitive referent like Zillow is present. Otherwise you attract eyeballs, but those eyeballs do not really engage and the web shows a significant bounce rate, and ultimately the eyeballs move back to the referent. It is just human inertia to stick to what people already use unless the new thing is 10x better, which Homes.com now is not.

Homes.com claims that Zillow is a horrific experience for buyers. It might be because of the role of the buyer agent in the proposition. But how many of those eyeballs are really home buyers this year (the ones who really experiment the better experience)? The most important thing is Homes.com is a better experience for people who are nosing around on the web every week (which potentially will become buyers one day). Otherwise moving eyeballs is a slow process that does not really work.

On the listing agent side, they get the lead anyways at the end (coming from an buyer agent or the buyer himself) and get their 3%. Arguably even if the buyer agent disappears they will have to do more work like showing the house (which might increase conversion as they know the home better but is also more work). So this "your listing your lead" is a bit overstated. It adds value, but it is not the super new paradigm.

What features/actions do you think Homes.com needs to implement to be a really different experience for eyeballs that makes them stay in the web? Matterport exclusivity (or at least cutting its ties to Zillow) might add? happy to hear your thoughts here.

All the best

Subject Re: Metrics
Entry 05/15/2024 10:41 AM
Member Fat_Tony

Homes.com monthly visits went from 8-9m pre-deal (incl houses.com) to 50m today.

We see the same data as you: visits have plateaued at this level for the last ~9mo. And we also observe that that visit ramp is disproportionately bought (although organic visits have also grown from 7m to 23m). And quality metrics are relatively poor (bounce rate, visit duration, etc.).

At the end of the day, this is a network biz. CSGP needs to successfully build both the consumer side and the agent side of that network. The recent updates to the agent side are strong. Signed 8.5k agents in 3mo, adding another 1-2k/mo, all paying ~\$500/mo to be on the platform. And plenty of headroom on a US broker base of 800+k. The offering is resonating with brokers.

Your points center on the other side of the network = the consumer. Winning traffic is first a function of marketing spend. *Durable/organic* traffic is a function of content/experience. Homes.com needs to build unique content. They started with neighborhoods, where I think their content is already best-in-class. More important is property-specific content, which is more difficult to differentiate given the MLS. The MTTR deal is a clear step in that direction.

I also think the NAR settlement is a big deal for the consumer experience, on the home portals. Consumers want to be connected to the selling broker, not a rando buyside agent who paid for the placement. That is increasingly true under the new-normal with contracted buyside relationships and a buyside fee divorced from the selling commission. I think that will accrue to the homes.com consumer experience, relative to incumbents.

Yes, Zillow is the big dog. But don't forget that realtor.com and redfin together have nearly 250m monthly visits. Together, the tier2 players (homes.com, realtor.com, redfin) have nearly 300m monthly visits to Zillow's 325m. In other words, there are a lot of (monetizable) eyeballs out there, already not on Zillow. I also expect CSGP isn't done with M&A in the space...redfin is distressed, and realtor.com is for sale.

Fun with #s: the incumbents (Zillow, realtor.com) monetize at ~\$7/MAU. Homes.com is currently at ~\$1/MAU and growing quickly (guide implies \$2-2.50/MAU by YE). With no visit growth from the current 50m, at peer monetization rates homes.com would be a ~\$350m rev biz. CSGP tracking to spend \$2-2.5bn building homes.com before breakeven. Meaning even without a further visit ramp, at that monetization rate they would have created homes.com at 6-7x sales, or mid-teens EBITDAX at a reasonable portal margin. By no means a homerun, but not an albatross either. Obviously, the thesis here is that they do better than that.

Subject
Entry
Member

Re: Re: Metrics
05/16/2024 05:11 AM
coyote

Thank you Fat_Tony. You raise good points.

- **Consumers want to be connected to the selling broker, not a rando buyside agent who paid for the placement.** Agree on this. But what consumers we refer to? You refer to home buyers. There is a considerable gap between surfing on a web and actually having the intention of buying a home. In other words actual annual buyers are a small proportion of visitors. And non-buyer visitors do not care (at least for the time they do not intend to buy a home) about being connected to a listing or buyer agent simply because they do not connect. Long story short for them this listing agent direct connection does not mean better experience until they buy a home, so turning them into the new site might take long amid the very nature of the infrequency of buying a home.

- **\$500m per month to be on the platform?** I guess it is for premiumization or features. They are already on the platform as all sites absorb all MLS listings, right?

- One important point that undermines a bit Homes.com case is that most listing agents are also buyer agents in other transactions. So imagine a listing agent gets 50 leads to buy his listing. In the end just one of those will buy the home. But what about the other 49? The listing agent will likely use them to be their buyer agent, so taking those leads without necessarily listing any other homes. Is not Homes.com in the end actually a different version of Zillow in the sense that is not really your listing your lead but stealing 49 leads from another listing agent? Sure, buyer agent commissions will erode... but is not an agent making more money on 49 buyer agent leads vs. 1 listing agent lead?

- Homes.com has already spent \$2.5B+ in Homes.com with the Matterport deal right? Why do not they make exclusive. Actually without S&M spend that would be profitable on its own, giving just service to CoStar internally? Or you think it makes sense to sell it to 3Ps as it currently happens?

Best

Subject
Entry
Member

Re: Re: Re: Metrics
05/16/2024 08:29 AM
Fat_Tony

IMO, the consumer that matters is the transacting one. Those are the visitors who are monetizable as leads, either sellside or buy-side. A browsing consumer is ~worthless to the agent in the moment. Sure, browsers eventually turn into buyers, but what matters is on which site they actually click a link to connect to an agent. Agents aren't paying for visits, they are paying for leads/clicks.

What are all these agents paying \$500/mo for on homes.com? In rough order of estimated importance/ROI: 1. priority placement of your listings in search results, 2. priority sorting in the agent directory (<https://www.homes.com/real-estate-agents/>), 3. profile and listings placement on the neighborhood/school profiles (<https://www.homes.com/lansing-mi/neighborhood/delta-township/>), 4. banner advertising of their profile and listings on 3P sites via retargeting (i.e. outsourced web marketing), 5. enhanced agent bio on all your listings.

Re: your 49:1...I don't follow. If a listing agent on homes.com gets another 49 buy-side leads from their listing on the site...that's a fantastic outcome for homes.com ROI. The ick factor for agents vis a vis Zillow, is that their listings *directly drive consumers to another broker*. homes.com solves for that.

Good catch, my \$2-2.5bn was excluding MTTR (both spend and revs). To be more precise: through the end of this yr, they will have spent \$400m acquiring homes.com/houses.com, \$1.6bn in negative FCF (mostly marketing and content). So \$2bn total, and my \$2.5bn allowed for another \$500m in losses to breakeven. On top of that, they will have spent \$1.6bn on MTTR = 9x revs. MTTR is expected to be profitable by deal close.

I think Andy will be very careful talking publicly about making MTTR proprietary pre-close, if ever. In fact on the deal call, he talked up MTTR's partnership with other sites. Anti-trust regulators are watching closely, and Andy is savvy. I think their LT playbook is to make MTTR content (more) exclusive to homes.com. Regardless of what Andy says to the public (i.e. regulators).

Subject	Re: Re: Re: Re: Metrics
Entry	05/16/2024 10:13 AM
Member	coyote

IMO, the consumer that matters is the transacting one. Agree. But is is unlikely to have a lot of transacting customers without a lot of visitors. That is why it is as important that non-buying-at-that-moment visitors have a great experience as they will turn in t buyers eventually. If they are not even visitors in that web, it is unlikely that they will turn into buyers one day in that same web.

What are all these agents paying \$500/month for on homes.com? Thank you for the clarification. Is this \$500 for unlimited listings or this is an average? Or it depends on the number of employees in the agency? Or how does it work? BTW, we saw some expert calls from agents stating they will unsubscribe because Homes.com is not generating them a worthwhile ROI.

Re: your 49:1...I don't follow. The 49 remaining leads means that the listing agent that sold the home for one lead as the listing agent, will act as the potential buyer agent for the 49 potential buyers who did not buy the home he was listing. The 49 people will get stormed by that listing agent in a role that is not a listing agent anymore, but an unsolicited buyer agent... which is actually what Zillow does! Does it make sense?

Subject	Re: Re: Re: Re: Re: Metrics
Entry	05/16/2024 02:58 PM
Member	Fat_Tony

re: \$500/mo, that is the average. It is per agent, and depends on scope of the platform you adopt in addition to # of listings. re: retention...RBC does a great job tracking. Cumulatively last 4 weeks, CSGP has added 1,700 gross new agents, churned 400 = 1,300 net new. So 4+:1 ratio of adds to losses.

By agent count, annualized churn running ~50%, which is obviously high. Importantly, that churn is monotonic to agent size...the largest/most productive agents are churning less than smaller/less productive ones (i.e. rev churn likely much lower).

As with all new products, I expect churn (and new bookings) to mature as older cohorts become a larger part of the base. With a customer base comprised of agents (who have a healthy amount of churn amongst their own ranks), this will never be a super-high retention business. We've estimated that Z agent retention is in the mid/high-80s.

I understand the mechanics of your 49:1 example. But I see that as a + not a - for homes.com = more value to agents as a backdoor to buy-side leads. The #1 thing agents don't like about Zillow, is that "buy-side agent rando's" are being posted on their listings. Remember, 95+% of agents aren't Zillow Premier Agents. homes.com doesn't do that.

As a consumer, I want to be connected to the listing agent, which homes.com uniquely does. If I decide not to buy that property, but use that agent as my buying representative elsewhere, I see a win-win.

Subject	Re: Re: Re: Re: Re: Re: Metrics
Entry	05/17/2024 07:38 AM
Member	coyote

As a consumer, I want to be connected to the listing agent, which homes.com uniquely does. If I decide not to buy that property, but use that agent as my buying representative elsewhere, I see a win-win. Yes, but what about a listing agent calling you to be your buyer agent without soliciting it? Probably the potential buyer likes as it had already spoke with that person when it was acting as a listing agent no matter the potential buyer ended up not buying that specific home...

How does Zillow proceed when I contact? Is it just one buyer agent calling you in what I understand as the winner of a bidding process or Zillow gives the lead to 5 or 10 buyer agents and you have most of them if not all of them calling you?

Subject Core Thesis not really working now
Entry 05/29/2024 01:30 PM
Member coyote

Clearly the market discounts it is not gonna work that well. Concerning Apartments.com also there is mounting evidence amongst some players on the supply side they feel Apartments overcharges. Given that Zillow already captured the long tail and actually is growing in rentals generally and multifamily more specifically at higher rates vs. Apartments.com (although from smaller base) what makes us think that Apartments.com will be the winner in 5 years time. It feels like more consumer friendly, natural and better prop to have all multifamily and the long tail under the same umbrella.

Homes.com - What I suspected. Many people ascribing to the bull thesis and the delta in the value proposition is not that clear cut and thus it is not really gaining traction /working well. That is factual, no matter the discussions on the value prop. Not really gaining real traction and stock price reaction is unsurprising. We need evidence otherwise.

Subject Re: Core Thesis not really working now
Entry 06/14/2024 04:26 AM
Member coyote

Fat_Tony, any ideas on why the agents do not subscribe / churn from Homes.com? 2 possibilities in my mind.

1. Eyeballs are not really there in terms of engagement and CoStar metrics on traffic are misleading (they do not lie but might be promotional). Homes.com Web / App might not represent a step function from Zillow, so as humans are habit-driven creatures they stick to the cognitive referent (Zillow), so why paying any subscription for a subscale model that provides a few leads?

2. Prospective buyers are not prepared (culturally, peace of mind wise, or you name it) to connect directly with the listing agent. It might be that the buyer agent is people's top of mind in the process of buying a home so the default option to do first is Zillow or buyer-agent referrals from local billboards, family and friends. That assumes the buyer agent adds peace-of-mind value (legal coverage, show "hidden" aspects on the home the listing agent is not incentivized to bring up as he represents the seller, etc). Bear in mind in Europe we have public registry of properties and we pay these representatives so they are legally responsible to assure the property belongs to whom is supposed to and the estate is in the condition the seller claims it to be. There is nothing equivalent in the US and somebody has to do that.

Option 1 is fixable. Option 2 is less fixable.

Subject Re: Re: Core Thesis not really working now
Entry 06/17/2024 09:11 AM
Member Fat_Tony

Hi coyote, the stock in the short term is no mystery. 1) homes.com traffic has been meh (similarweb and semrush have diverged a bit, with the latter stronger than the former...but neither showing acceleration). 2) RBC homes.com agent tracking has shown steady-not-accelerating net ads, annualizing towards \$130m YE ARR vs recently raised [\$130-140m].

CSGP now trading 31x core 2025 earnings (ex-homes.com). This is on the relative lows (vs SPX) over the last decade. In other words, as the high-frequency homes.com KPIs have underwhelmed, the core biz is trading historically cheap.

All the channel checks we've done/seen suggest agents by and large *want* to use homes.com. They want a listings-driven alternative to Zillow. But at the end of the day, they will only put their \$ where their heart is IFF the ROI is there. That requires eyeballs. Churned agent feedback has been overwhelmingly a result of too few leads. This is a network biz, homes.com needs the eyeballs to get the agents, and the agents to fund the CAC. homes.com is at the steepest part of that S-curve. I think they have a shot to scale it, on a time horizon measured in yrs not weeks/months. Maybe they don't, in which case: see above re 31x core.

FWIW, I don't think the slog for eyeballs is driven by consumer preference to connect to "buy-side rando's" as opposed to the listing agent. The buy-side agent search should happen in a forum optimized for that (e.g. homes.com or others' agent directories), as opposed to getting connected to whomever is willing to pay the most for that lead. Particularly post-NAR.

Subject Re: Re: Re: Core Thesis not really working now
Entry 06/25/2024 11:04 AM
Member coyote

In the end is what I sort of expected. Andy was a bit promotional into this. Obviously was not that easy. I still do not fully get (honestly!) the step function Homes.com offers to eyeballs vs. Zillow. At least not at this point. Homes.com needs a way better proposition to keep those eyeballs. If it is way better people stick to the default referent they used (Zillow).

On 31x core 2025 earnings yes, agree. That if we assume Andy's ego will not interfere in optimal capital allocation decisions...

Subject Re: Core Thesis not really working now
Entry 10/15/2024 02:24 PM
Member humkae848

Do you mind expanding on your comments re: Aparments.com (customer frustration, etc.)? They've been growing at high teens - any thought on whether that is sustainable?

Subject Comments on Q3 Resi
Entry 10/29/2024 01:01 PM
Member coyote

Resi is really lagging IMO. After \$1B spend one would expect far better traction. Q2 148 MAUs and now Q3 130. Annualized Net new bookings \$56m (from \$55m Q2). Grown less than 1K agents in a quarter to 11K. These are honestly shitty numbers for such an investment. And the metrics we traction on users via other sources do not even match these ones, are even more mediocre. Questions arise.

- Is this really the right model for the US "your listing your lead"? In the end the lead ends up to the listing agent, no matter if it comes directly via either a buyer or a buyer agent. If somebody wants and home and finally buys that home, the listing agent will make his/her 3% anyways.

- Andy somehow agrees that while the buyer agent fees will be under pressure and the signing process will be cumbersome under the new regulation, (a) most estates require a buyer agent and that role will unlikely disappear and (b) it is important part of the process as it recommends alternative homes to prospective buyers that might fit third needs and are part of the face to guarantee the registry belongs to and is on the condition the seller claims (absence public property registry in the US and present that scene on Breaking Bad series where just a dishonest lawyer as Saul Goodman is able to realize that the value of a property should be much lower than the ask price as it used to have a meth lab on its basement). On top of this the buyer agent, with all its shortcomings, typically shows the property to the prospective buyer. If it happens under the Homes.com model that is the listing agent the one who shows the property to the buyer now... the listing agents might require additional compensation for their time.

- Our research shows that "buyer agents generally storming prospective buyers" on Zillow is not true. Some cases yes. But generally is one buyer agent assigned by Zillow the one who calls the prospective buyer. Thinking about it... a buyer agent main con for the buyer is (1) might know much less about the property than the listing agent, but there are two big pros (1) it works for the buyer and not the seller in a country which lacks public registry unlike its European counterparts, (2) the properties are typically spread out in the country so a buyer agent does all the visit work for the buyer, whereas the buyer would have to arrange with each individual listing agent to visit each property otherwise and (3) the buyer agent might look for other properties that fit a prospective buyer as he/she knows the buyer's needs and will make his/her commission regardless the home the buyer finally acquires.

- To gain traction really Homes.com should cater not only to people who are not only looking for a home at that time (buyers that would appreciate the better online/offline experience Homes.com offers) but to people who look for homes now for a long time without the intention to visit/buy one at that precise moment but much later in time - these people comprise the majority of the eyeball base given 12+ year average home ownership tenure in the US. So these "lookers" just prefer the best online experience as for the time being there is no offline part of the process. Humans are creature of habits, so to switch from Zillow to Homes.com the latter should offer a much better online experience. We think such better experience does not exist now and Homes.com should do much more to create a noticeable value gap. Matterport 3D capabilities and other current stuff - some data/info on neighbourhoods and the like - do not move the needle (Zillow has a decent 2D/3D capability which people are used to). Add to this that many of these "checkers" are typically the most frequent users and likely app users (not web users). People are unlikely to have 2-3 real estate apps and you have to give them a good reason to switch. Unsurprisingly Zillow ranks 4 in the lifestyle apps in the US and Homes.com is the 67... and that after spending \$1B...

Would love to know your thoughts as we in the end are European (from Spain) and happy to admit we are quite ignorant about many US-centric topics.

Cheers!

Subject Re: Comments on Q3 Resi
Entry 10/29/2024 01:17 PM
Member Fat_Tony

Hi coyote, I think you are hitting on many of the reasons resi hasn't been an immediate success.

When posted, the thesis was: [cheapish-to-fair on core ex-resi, and maybe resi works]. And NAR could catalyze resi success faster than we might otherwise see.

7mo later, resi isn't happening. At least not as quickly as might have been hoped. I still think the timeframe for judging resi success/failure is more than a few quarters.

For that: the biz ex-resi/ex-cash is now much cheaper. ~30x next year's earnings = the cheapest (relative to mkt) we've seen CSGP since the Apts.com deal in 2014. And we're another few quarters closer to the non-resi bottom. Although I thought the 3q call was pretty poor, re: what to expect for F25 non-resi guide given carryover impact of weak F24 bookings as the salesforce focused on resi.

Perhaps the market is saying: resi has negative NPV, Andy will throw good money after bad, and they'll never see a return. That would be very out of character, for Andy. And I'll take the other side on that bet. Knowing that we've been wrong so far.

Subject Re: Re: Comments on Q3 Resi
Entry 10/30/2024 06:21 AM
Member coyote

Yes Fat_Tony. Market thinks resi is negative NPV (it might be???). Not sure if Andy will throw good money after bad, in the end he is a high ego guy and maybe unlikely to push the break. On top of this the low insider share ownership for a founder-led company does not help at all.

Resi

"7mo later, resi isn't happening. At least not as quickly as might have been hoped. I still think the timeframe for judging resi success/failure is more than a few quarters" - And that after throwing \$1B. Next year Homes.com will spend a bit less by lifting a bit the pedal on advertising. What makes you think that this might work? If it has not gained traction after \$1B... With the info we have what would make us think that it has a chance to work, given all the reasons I enumerated that support it won't work.

Multifamily

Apartments.com is not working that well either. So 30x next year earnings is under the assumption that Core and Multifamily is not challenged. On Multifamily Q3... revenue is \$2m lower sequentially QoQ and it has lost 1,000 customers in the 1-49 unit range (estimated TAM in that arena has also shrunk by 1,000). What is going on here? It seems that it is very difficult for Apartments.com to capture the long tail. (1) Is it either because the subscription model does not bode well here as these are mainly sole owners who want to list 1 -2 units rather than institutional players that list uninterruptedly - i.e. implementing a "per listing" model could potentially cannibalize? (2) Is it because Zillow has all this customer base of sole owners and CAC is low for Zillow whereas for Apartments.com CAC was low when addressing large condos with institutional owners but not for this? reality is to see if that \$7M TAM CoStar claims is realistic for the company resources and positioning.

Core

Costar overcharging for a bunch of products and people willing to look for alternatives in certain areas? Pricing power has a limit and quite a few customers are unhappy. Also how do we really know that commercial will rebound consistently and WFH and other COVID-era-generated habits do no impact here?

Thing is we **need** core and multifamily to work here for the thesis to work out, it is not optionality like resi - that assuming Andy does not get mad burning money if things do not work out after some time.